CREDIT FIRST LOOK · TRAILING 12 MONTHS

NVIDIA CORP

NVDA Semiconductors & Related Devices

Data from 10-Q (period ending Jul 26, 2026), filed Aug 26, 2026

SUMMARY · NVIDIA CORP

Key metrics

Leverage	**0.17x**	Covenant max 3.5x	Pass
FCCR	**107.35x**	Covenant min 1.25x	Pass
Net debt	**$10.9B**	0% floating	Pass
Largest customer	**22%**	of revenue	Watch
Reputation	**High**	4 flagged events	Fail

Key takeaways

- Leverage is negligible at 0.17x TTM Q2'27 against a 3.5x maximum (pass), and FCCR is 107.35x against a 1.25x minimum (pass), leaving very large covenant headroom.
- Total debt reached $33.37B at 2026-07-26, up from $8.47B a year earlier and above $22.44B of cash; the 10-K describes only $8.5B of fixed-rate notes, so the terms of the new borrowing need diligence.
- Customer concentration is high: two direct customers made up 22% and 14% of FY2026 revenue, and three direct customers held 25%, 18% and 13% of receivables.
- Off-balance-sheet obligations are large relative to funded debt: $95.2B of supply and capacity commitments, $27B of cloud service commitments, $11.4B of investment commitments, $3.5B of partner lease guarantees and $22.7B of

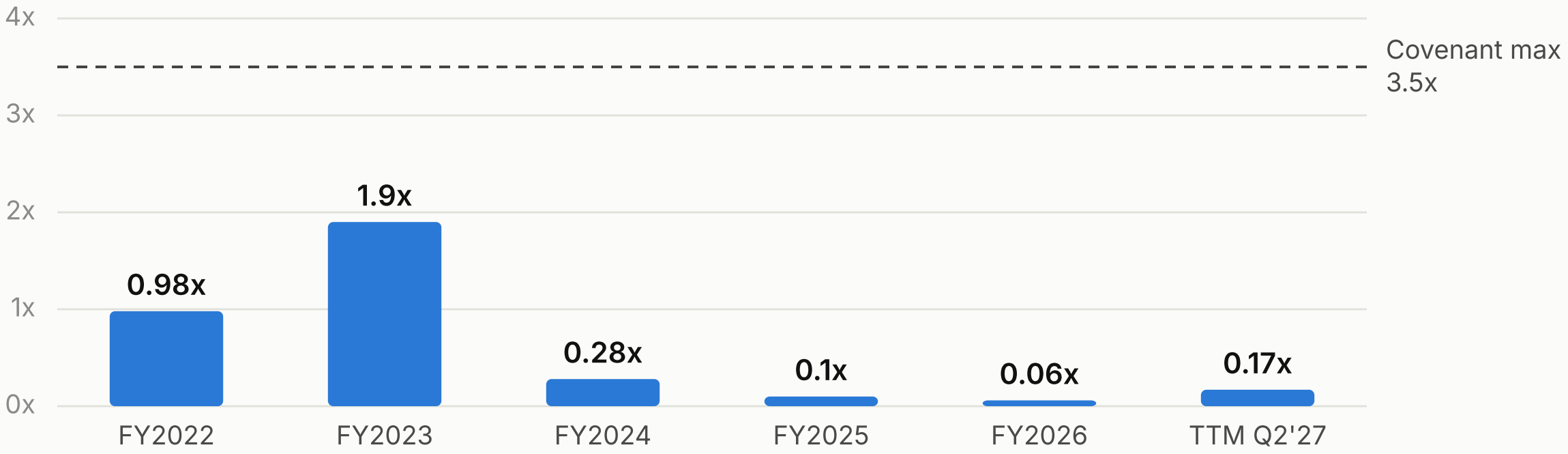
LEVERAGE RATIO · TOTAL DEBT / EBITDA

0.17x

down from 0.98x in FY2022

Within covenant (max 3.5x)

Leverage was 0.06x in FY2026 and rose to 0.17x TTM Q2'27 as debt grew to $33.37B; both are far inside the 3.5x maximum (pass). Watch further borrowing alongside rising capex and investment commitments.



Source: SEC XBRL: total debt (balance sheet), operating income + D&A ↗

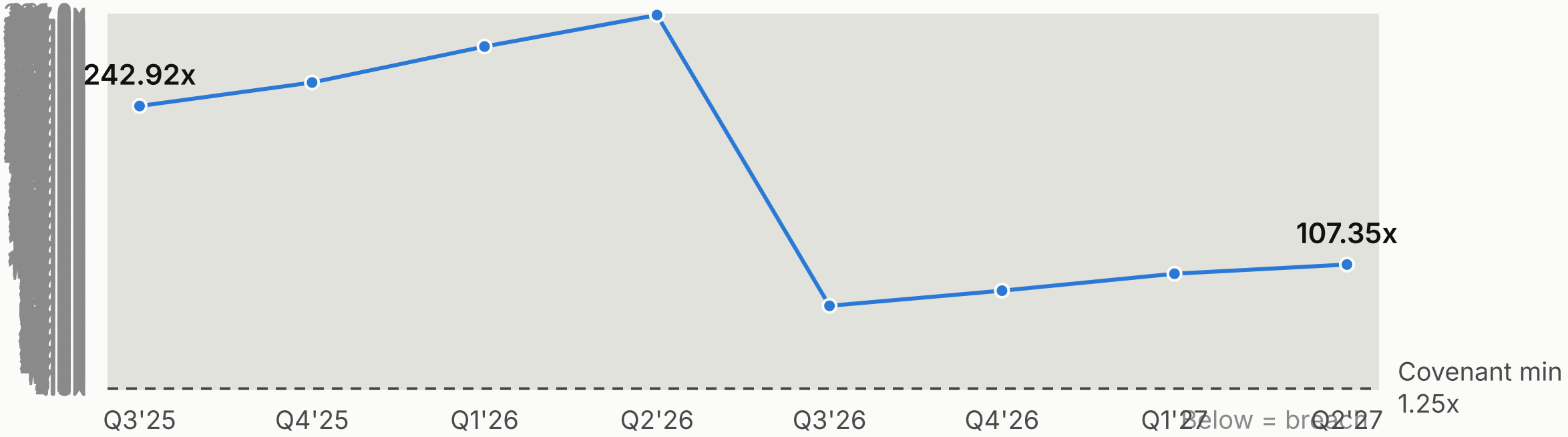
FIXED CHARGE COVERAGE RATIO · TRAILING 12 MONTHS

107.35x

vs. 1.25x covenant minimum

Pass

FCCR is 107.35x TTM Q2'27 against a 1.25x minimum (pass). The step-down from 320.72x to 72.06x at Q3'26 likely reflects the $1.0B 3.20% notes due 2026 entering scheduled principal, while EBITDA growth keeps coverage very high.



FCCR = (EBITDA − CapEx − cash taxes) / (interest + scheduled principal) · Source: SEC XBRL 10-K and 10-Q data, fiscal quarters, tax expense used for cash taxes ↗

DEBT · AS OF JUL 26, 2026

$33.4B
total debt (up from $8.5B a year ago)

$10.9B
net debt (total debt minus $22.4B cash)

2.2%
average interest rate

0%
floating rate (rises if rates rise)

! Watch: $1.0B due in Next 12 mo

Total debt is $33.37B versus $8.47B a year ago, with $1B due in the next 12 months and $32.37B later; the average rate is about 2.2% (estimated). The FY2026 notes were fixed-rate and unsecured, and a $25B commercial paper program was undrawn at year-end.



Source: SEC XBRL debt and maturity data (rate = interest / average debt); floating share from 10-K text ↗

COMPANY EXPOSURE (STABILITY) · FY2026

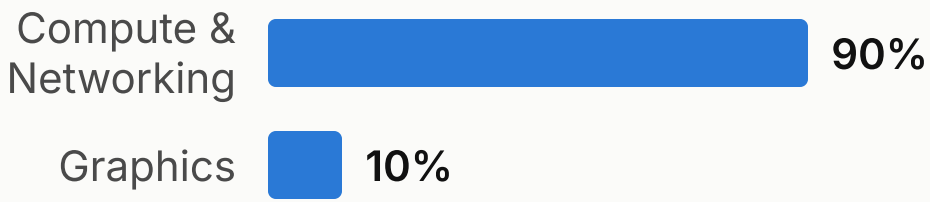
22%
of revenue from largest customer
Above 10%

n/d
of revenue from top 3 customers

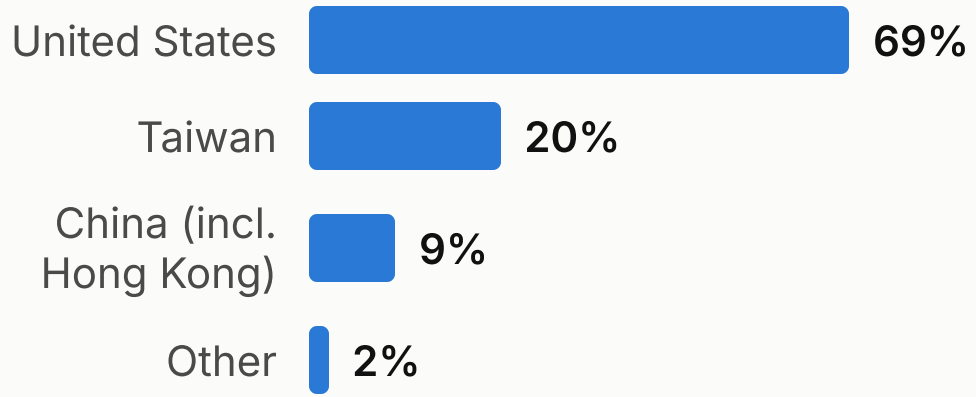
±16%
quarterly revenue swing (fiscal Q2 seasonal peak)

Compute & Networking produced about 90% of FY2026 revenue, and US-headquartered customers about 69%. Two direct customers accounted for 36% combined, and the company estimates 76% of Data Center revenue from Taiwan-headquartered customers went to US and European end customers.

Revenue by segment



Revenue by region



Source: 10-K segment and customer disclosures (read by Claude); quarterly revenue from SEC XBRL ↗

REPUTATION · LAST 12 MONTHS OF NEWS + 10-K LEGAL PROCEEDINGS

High risk

Flag

Rated High mainly because China's antitrust regulator has preliminarily found that NVIDIA violated its Mellanox approval terms, which could lead to penalties or business restrictions. A 2018-era securities class action and related derivative suits are pending with no accrual. This assessment draws only on the 10-K; no news search was done.

Sep 2025	Regulatory	China antitrust regulator preliminarily finds Mellanox approval terms were violated	10-K ↗
Feb 2025	Litigation	Crypto-era securities class action remanded to district court after Supreme Court dismissal	10-K ↗
Apr 2025	Regulatory	US H20 export license requirement triggers $4.5B inventory and purchase charge	10-K ↗
FY2026 10-K	Regulatory	Competition regulators in EU, US, UK, China and Korea send broad information requests	10-K ↗

10-K legal proceedings only; news scan not built yet · Flag levels: Low / Medium / High